AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B326

Advanced Financial Accounting

Mid-term Examination – VD
Summer Semester 2025-2026

11 – August – 2026

Number of Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

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Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (22 marks)

A- Goodwill should be tested for impairment at least once a year, and if a triggering event occurs. Mention 5 reasons (events) that are considered a trigger for a company to carry out a goodwill impairment test. (10 marks)

B- Pick Incorporated purchased the assets and liabilities of Sea Company at the close of business on December 31, 2025. To complete this transaction, Pick took out a note payable of $650,000, in addition to the $1,650,000 cash that they paid directly. The fair value and book value of Sea's recorded assets and liabilities as of the date of acquisition are listed below.

	Book Value	Fair Value
Cash	$120,000	$120,000
Inventories	490,000	570,000
Other current assets	630,000	600,000
Plant assets-net	2,650,000	2,620,000
Total Assets	$3,890,000	
Accounts payable	$200,000	$250,000
Notes payable	1,100,000	1,000,000
Capital stock, $5 par	700,000	
Additional paid-in capital	1,400,000	
Retained Earnings	490,000	
Total Liabilities & Equities	$3,890,000	

Required:

Prepare Pick's general journal entry for the acquisition of Sea, assuming that Sea will dissolve as a separate legal entity. (12 marks)

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Question 2 (36 marks)

Prints Corporation acquired 75% interest in Springs Corporation on January 1, 2024, for $1,200,000, when Springs stockholders' equity was $850,000. On this date, the book value of Springs' assets and liabilities was equal to the fair value, except for plant assets that were undervalued by $100,000 and had a remaining useful life of 5 years from January 1, and Liabilities that were overvalued by 25,000, which was retired in 2024. Springs' net income and dividends for 2024 were $250,000 and $50,000, respectively.

Balance sheet information for Prints and Springs Corporations at December 31, 2024, are as follows (in thousands):

	Prints	Springs
Cash	250,000	175,000
Receivable	150,000	225,000
Inventory	513,250	400,000
Plant, net	2,250,000	450,000
Investment in Springs	1,316,250	
Total	4,479,500	1,250,000
Liabilities	1,350,000	200,000
Capital Stock	1,000,000	375,000
Retained Earnings	2,129,500	675,000
Total	4,479,500	1,250,000



Required:

1) Prepare the elimination entries required for consolidation on December 31, 2024. *Show all required computations.*
2) Prepare consolidated balance sheet work paper for Prints Corporation and Subsidiary at December 31, 2024.
3) State the items that have been amortized and those that have not, and explain why.

Question 3 (42 marks)

Pink Corporation has acquired 80% of Sage Company stock for $900,000 on January 1, 2023, when Sage Equity consist of $450,000 capital stock and $200,000 retained earnings.

- At December 31, 2023, subsidiary had net income of $300,000 and had distributed cash dividends of $35,000 which was recorded as payable by the subsidiary.
- Subsidiary building was undervalued by $250,000 in time acquisition.
- Any excess differential above the $250,000 which was mentioned above should be allocated to Goodwill.
- The building has useful life of 5 years

***Required:* Using Equity Method**

a) Calculate the amount of unamortized excess and the amount to be allocated to goodwill.
b) Calculate the adjusted income from subsidiary for the parent and for the NCI.
c) Record the elimination entries required.

[End of Questions]

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